

FEDERAL MARITIME COMMISSION

Docket No. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A.

v.

**WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN
LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC.,
NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC.,
MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC.,
KAWASAKI KISEN KAISHA, LTD., "K" LINE AMERICA, INC.,
COMPAÑÍA SUD AMERICAN DE VAPORES S.A., AND HOËGH AUTOLINERS AS**

**ANSWER AND AFFIRMATIVE DEFENSES
OF RESPONDENTS WALLENIOUS WILHELMSSEN LOGISTICS AS,
WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC,
AND EUKOR CAR CARRIERS INC.,**

Respondents Wallenius Wilhelmsen Logistics AS ("WWL AS") and Wallenius Wilhelmsen Logistics Americas LLC, ("WWL Americas") and EUKOR Car Carriers Inc. ("EUKOR") (WWLAS, WWL Americas, and EUKOR are referred to collectively as "answering respondents"), by and through their undersigned counsel, respectfully submit their answer to the complaint of complainants Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.p.A. (collectively, "complainants") as follows:

INTRODUCTION

1. Denied. The allegations in this paragraph 1 constitute conclusions of law to which no answer is required or given. By way of further answer, on November 30, 2017, answering respondents and others filed their supplemental consolidated motion to dismiss the

complaint filed by complainants (the “Fiat Chrysler complaint”). On May 7, 2018, Administrative Law Judge Wirth issued an initial decision granting in part and denying in part the supplemental consolidated motion to dismiss the Fiat Chrysler complaint. Specifically, the initial decision determined that, although complainants “potentially have standing to seek reparations[,]” “the statute of limitations bars reparations, except for violations that Fiat can establish in docket 17-09 that occurred within the limitations period.” Init. Dec. at 2. In respect of the latter point, the initial decision makes clear that “reparations may only be awarded to a complainant for injury caused by a respondent’s violation of the Shipping Act if the complaint is filed within three years after the claim accrues.” Init. Dec. at 43 (citing 46 U.S.C. § 41301(a)). The initial decision further held that “the statute of limitations only bars the award of reparations, not the filing of a complaint or the issuance of a cease and desist order.” *Ibid.* (citing *Maier Terminals, LLC v. The Port Auth. of N.Y. and N.J.*, 32 S.R.R. 1185, 1190 (FMC 2013)). It further held that “[t]he publicity regarding the [September 6, 2012] dawn raids was sufficient for [c]omplainants, exercising due diligence, to have discovered their claims.” *Id.* at 47. It further noted that the Fiat Chrysler complaint “was filed more than three years after all three of these Commission press releases [issued on December 23, 2013 (K-Line and NYK), February 12, 2014 (MOL/NMCC), and March 5, 2014 (CSAV),]” holding that “even if the dawn raids and the publicity about them were not sufficient to put the 2016 Complainants on notice, Fiat’s complaint would be time-barred based on the Commission’s press releases.” *Id.* at 48. Because the Fiat Chrysler complaint “specifically alleges continuing violations[,]” *id.* at 49, the initial decision holds that “Fiat may be entitled to reparations if it can establish a violation that accrued within three years of filing their complaint.” *Id.* at 50. The Fiat Chrysler complaint was filed on October 6, 2017; as a result, “it may be entitled to a cease and desist order and possibly

reparations, if it establishes violations that occurred within three years of filing its complaint[,]" *ibid.*, or only for events occurring after October 6, 2014. In short, complainants are limited in the relief they may seek: "Fiat may seek reparations for violations that occurred within three years of filing the complaint[and] Fiat may seek a cease and desist order for any alleged Shipping Act violations which are established." *Ibid.* The initial decision therefore concluded that

the motion to dismiss the 17-09 complaint by Fiat be **GRANTED IN PART AND DENIED IN PART**. The claim for reparations is **DISMISSED WITH PREJUDICE IN PART**, and the claims for a cease and desist order and for reparations for violations within three years of filing the complaint may proceed.

[*Id.* at 56.]

Although the initial decision advised complainants of their right to appeal, *id.* at 54-55, and complainants sought and were granted an extension of time to file an appeal to July 30, 2018, complainants did not do so. Instead, as required by an order dated May 16, 2018, on August 9, 2018 a joint status report was filed and, by an order dated August 13, 2018, respondents' "answer, affirmative defenses, etc. to [the] complaint" are due on or before October 9, 2018. The answer, in its entirety, is subject and limited to the matters noted in this paragraph 1.

2. Denied. The allegations of this paragraph 2 constitute conclusions of law to what no answer is required or given. To the extent this paragraph 2 alleges facts, the same are denied and strict proof thereof is demanded at trial, if relevant.

3. Denied. The allegations of this paragraph 3 constitute conclusions of law to what no answer is required or given. To the extent this paragraph 3 alleges fact, the same are denied and strict proof thereof is demanded at trial, if relevant.

4. Denied. The allegations of this paragraph 4 constitute conclusions of law to what no answer is required or given. To the extent this paragraph 4 alleges facts, the same are denied and strict proof thereof is demanded at trial, if relevant.

5. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 5, and strict proof thereof is demanded at trial, if relevant.

6. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 6, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 6 constitute conclusions of law to what no answer is required or given.

7. Admitted in part and denied in part. It is admitted that Wallenius Wilhelmsen Logistics AS, k/n/a Wallenius Wilhelmsen Ocean AS ("WWL AS") is a corporate entity formed under the laws of Norway, and maintains its principal place of business in Lysaker, Norway. It is admitted that Wallenius Wilhelmsen Logistics Americas, LLC ("WWL Americas") is a limited liability company organized under the laws of the State of Delaware and maintains its principal place of business at 300 Interpace Parkway, Bldg. A - Fourth Floor, Parsippany, New Jersey 07054. It also is admitted that WWL Americas is wholly-owned by WWL AS. It also is admitted that, from time to time, some of plaintiffs purchased RoRo Services from either WWL AS or WWL Americas; strict proof of the extent and/or frequency of such purchases is demanded at trial, if relevant. The remainder of the allegations of this paragraph 7 are denied as either the same constitute conclusions of law to which no answer is required or given, or strict proof thereof is demanded at trial, if relevant.

8. Admitted in part and denied in part. It is admitted that EUKOR Car Carriers Inc. (“EUKOR”) is a corporate entity formed under the laws of the Republic of South Korea, and maintains its principal place of business in Seoul, South Korea. It is admitted that EUKOR maintains offices in Seoul, South Korea (main office); Pyeongtaek, South Korea; Ulsan, South Korea; Mokpo, South Korea; Tokyo, Japan; Beijing, China; Shanghai, China; Dubai, United Arab Emirates; Mumbai, India; Stockholm, Sweden; Hamburg, Germany; Istanbul, Turkey; Parsippany, New Jersey; Los Angeles, California; Sao Paulo, Brazil; and Santiago, Chile. The remainder of the allegations of this paragraph 8 are denied as either the same constitute conclusions of law to which no answer is required or given, or strict proof thereof is demanded at trial, if relevant.

9. Denied. The allegations of this paragraph 9 do not refer or relate to answering defendants and, therefore, no answer is required or given.

10. Denied. The allegations of this paragraph 10 do not refer or relate to answering defendants and, therefore, no answer is required or given.

11. Denied. The allegations of this paragraph 11 do not refer or relate to answering defendants and, therefore, no answer is required or given.

12. Denied. The allegations of this paragraph 12 do not refer or relate to answering defendants and, therefore, no answer is required or given.

13. Denied. The allegations of this paragraph 13 do not refer or relate to answering defendants and, therefore, no answer is required or given.

JURISDICTION AND VENUE

14. Admitted in part and denied in part. It is admitted that the Federal Maritime Commission (“FMC”) has jurisdiction over the Fiat Chrysler complaint pursuant to the

Shipping Act of 1984, as amended. The remainder of the allegations of this paragraph 14 are denied as either the same constitute conclusions of law to which no answer is required or given, or strict proof thereof is demanded at trial, if relevant.

15. Denied. The allegations of this paragraph 15 constitute conclusions of law to which no answer is required or given.

16. Denied. The allegations of this paragraph 16 constitute conclusions of law to which no answer is required or given.

BACKGROUND AND ALLEGATIONS OF FACT

17. Admitted in part and denied in part. It is admitted that answering defendants “transport wheeled freight, also known as ‘roll on, roll off cargo,’ on ocean shipping vessels specifically designed to transport such freight on deep sea routes” and that “[n]ewly assembled cars, trucks, and motor vehicles (‘vehicles’) are transported as roll on, roll off cargo[.]” The remainder of the allegations of this paragraph 17 are denied, and strict proof thereof is demanded at trial, if relevant.

18. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 18, and strict proof thereof is demanded at trial, if relevant.

19. Denied. The allegations of this paragraph 19 constitute conclusions of law to which no answer is required or given. To the extent this paragraph 19 alleges facts, the same are denied and strict proof thereof is demanded at trial, if relevant.

20. Denied. To the extent this paragraph 20 alleges facts relevant to answering respondents, the same are denied and strict proof thereof is demanded at trial, if relevant.

21. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 21, and strict proof thereof is demanded at trial, if relevant.

22. Denied. The allegations of this paragraph 22 are denied as either the same constitute conclusions of law to which no answer is required or given, or strict proof thereof is demanded at trial, if relevant.

23. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 23, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 23 constitute conclusions of law to which no answer is required or given.

24. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 24, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 24 constitute conclusions of law to which no answer is required or given.

25. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 25, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 25 constitute conclusions of law to which no answer is required or given.

26. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations

of this paragraph 26, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 26 constitute conclusions of law to which no answer is required or given.

27. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 27, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 27 constitute conclusions of law to which no answer is required or given.

28. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 28, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 28 constitute conclusions of law to which no answer is required or given.

29. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 29, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 29 constitute conclusions of law to which no answer is required or given.

30. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 30, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 30 constitute conclusions of law to which no answer is required or given.

31. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 31, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 31 constitute conclusions of law to which no answer is required or given.

32. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 32, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 32 constitute conclusions of law to which no answer is required or given.

33. Denied. The allegations of this paragraph 33 are set forth in a writing that speaks for itself.

34. Denied. The allegations of this paragraph 34 are set forth in a writing that speaks for itself.

35. Denied. The allegations of this paragraph 35 are set forth in a writing that speaks for itself.

36. Denied. The allegations of this paragraph 36 are set forth in a writing that speaks for itself.

37. Denied. The allegations of this paragraph 37 are set forth in a writing that speaks for itself.

38. Denied. The allegations of this paragraph 38 are set forth in a writing that speaks for itself.

39. Denied. The allegations of this paragraph 39 constitute conclusions of law to which no answer is required or given.

40. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 40, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 40 constitute conclusions of law to which no answer is required or given.

41. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 41, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 41 constitute conclusions of law to which no answer is required or given.

42. Denied. The allegations of this paragraph 42 constitute conclusions of law to which no answer is required or given.

43. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 43, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 43 constitute conclusions of law to which no answer is required or given.

44. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 44, and strict proof thereof is demanded at trial, if relevant. By way of further

answer, the allegations of this paragraph 44 constitute conclusions of law to which no answer is required or given.

45. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 45, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 45 constitute conclusions of law to which no answer is required or given.

46. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 46, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 46 constitute conclusions of law to which no answer is required or given.

47. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 47, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 47 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT ONE

48. Denied. Answering defendants incorporate their answers to paragraph 1 through 47, inclusive, of this answer as if each such answer was set forth herein at length.

49. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 49, and strict proof thereof is demanded at trial, if relevant. By way of further

answer, the allegations of this paragraph 49 constitute conclusions of law to which no answer is required or given.

50. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 50, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 50 constitute conclusions of law to which no answer is required or given.

51. Denied. The allegations of this paragraph 51 constitute conclusions of law to which no answer is required or given.

52. Denied. The allegations of this paragraph 52 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT TWO

53. Denied. Answering defendants incorporate their answers to paragraph 1 through 52, inclusive, of this answer as if each such answer was set forth herein at length.

54. Denied. The allegations of this paragraph 54 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT THREE

55. Denied. Answering defendants incorporate their answers to paragraph 1 through 54, inclusive, of this answer as if each such answer was set forth herein at length.

56. Denied. The allegations of this paragraph 56 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT FOUR

57. Denied. Answering defendants incorporate their answers to paragraph 1 through 56, inclusive, of this answer as if each such answer was set forth herein at length.

58. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 58, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 58 constitute conclusions of law to which no answer is required or given.

59. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 59, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 59 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT FIVE

60. Denied. Answering defendants incorporate their answers to paragraph 1 through 59, inclusive, of this answer as if each such answer was set forth herein at length.

61. Denied. After reasonable investigation, answering defendants are without knowledge or information sufficient to form a belief as to the truth or veracity of the allegations of this paragraph 61, and strict proof thereof is demanded at trial, if relevant. By way of further answer, the allegations of this paragraph 61 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT SIX

62. Denied. Answering defendants incorporate their answers to paragraph 1 through 61, inclusive, of this answer as if each such answer was set forth herein at length.

63. Denied. The allegations of this paragraph 63 constitute conclusions of law to which no answer is required or given.

64. Denied. The allegations of this paragraph 64 constitute conclusions of law to which no answer is required or given.

CAUSES OF ACTION - COUNT SEVEN

65. Denied. Answering defendants incorporate their answers to paragraph 1 through 64, inclusive, of this answer as if each such answer was set forth herein at length.

66. Denied. The allegations of this paragraph 66 constitute conclusions of law to which no answer is required or given.

ALLEGATIONS OF INJURY

67. Denied. The allegations of this paragraph 67 constitute conclusions of law to which no answer is required or given.

WHEREFORE, answering defendants demand judgment in their favor and against complainants on all counts of their complaint.

AFFIRMATIVE DEFENSE NO. 1

The complaint fails to state a claim upon which relief can be granted.

AFFIRMATIVE DEFENSE NO. 2

Complainants lack standing.

AFFIRMATIVE DEFENSE NO. 3

The claims asserted are barred by the Shipping Act's statute of limitations.

AFFIRMATIVE DEFENSE NO. 4

The claims asserted are barred by the doctrine of laches.

AFFIRMATIVE DEFENSE NO. 5

The claims asserted are barred by the doctrine of waiver.

AFFIRMATIVE DEFENSE NO. 6

The claims asserted have been discharged in bankruptcy.

AFFIRMATIVE DEFENSE NO. 7

The claims asserted are barred by the doctrine of estoppel.

AFFIRMATIVE DEFENSE NO. 8

Complainants are unable to assert or prove any facts on which to assert either (a) a claim for reparations arising after October 6, 2014, or (b) a continuing basis for a cease-and-desist order. As a result, this action was brought (1) for an improper purpose, such as to harass, cause unnecessary delay, or needlessly increase the cost of litigation, (2) complainants' claims and other legal contentions are not warranted by existing law or by a nonfrivolous argument for extending, modifying, or reversing existing law or for establishing new law, and (3) complainants' factual contentions lack evidentiary support or, if pled on information and belief, will lack evidentiary support after a reasonable opportunity for further investigation or discovery. The filing and prosecution of the Fiat Chrysler complaint warrants the imposition of sanctions.

WHEREFORE, answering defendants demand judgment in their favor and against complainants on all counts of their complaint.

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Respectfully submitted,



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Counsel for answering respondents

Wallenius Wilhelmsen Logistics AS,

Wallenius Wilhelmsen Logistics Americas LLC,

and EUKOR Car Carriers Inc.

DATED: September 26, 2018

VERIFICATION PURSUANT TO 46 C.F.R. § 502.62(b)(2)

DANIEL M. CONATON, ESQ., upon his oath, hereby verifies as follows:

1. I am an attorney-at-law licensed to practice in the State of New Jersey. I serve as Senior Vice President, Legal Counsel of respondent Wallenius Wilhelmsen Logistics Americas, LLC ("WWL Americas"), and I am authorized to and do make this verification on its behalf. I also am authorized to and do make this verification on behalf of respondents Wallenius Wilhelmsen Logistics AS ("WWL AS") and EUKOR Car Carriers Inc. ("EUKOR").

2. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information and belief.

3. I hereby further verify under penalty of perjury that the foregoing is true and correct.

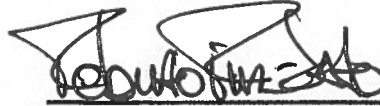
DATED: September 26, 2018


Daniel M. Conaton

CERTIFICATE OF SERVICE

I hereby certify that, on the below date, a true and correct copy of the foregoing answer and affirmative defenses was filed electronically with the Secretary of the Federal Maritime Commission, and true and correct copies thereof were sent electronically to all counsel for the parties identified in Docket No. 17-09.

DATED: September 26, 2018

A handwritten signature in black ink, appearing to read 'Roberto A. Rivera-Soto', written over a horizontal line.

Roberto A. Rivera-Soto